SPROTT PHYSICAL URNM TRS FD U.UN

July 05, 2026 - 4:31pm EST
by mezzybear

			2026	2027
Price:	19.23	EPS	0	0
Shares Out. (in M):	344	P/E	0	0
Market Cap (in $M):	6,926	P/FCF	0	0
Net Debt (in $M):	0	EBIT	0	0
TEV (in $M):	6,926	TEV/EBIT	0	0

Description

Sprott Physical Uranium Trust (TSX: U.UN / U.U)

Readers of our Sprott Physical Copper Trust write-up will recognize the set-up, however the uranium version is much bigger (~$7bn market cap vs. ~$80m) and more liquid, so this one works for accounts of any size.

Like COP, the thesis benefits both from what we believe is a structural bull market in uranium and an attractive entry point through a discounted physical trust. We also think the Strait of Hormuz closure will act as a catalyst for an increased focus on energy security around the globe.

The bull case for uranium is well documented at this point. We believe owning the physical at a discount is preferable to miners as it largely removes the risk of principal impairment (we think the risk here is one of time/sub-par IRR rather than serious impairment).

There is also one additional element here that copper does not have given the different market structure. The spot price which drives the trust's NAV ($85/lb) currently sits ~$10 below the long-term price ($95.50/lb) at which utilities are actually contracting which we think is underappreciated in the market.

“What's important about the uranium equities is the increasing prevalence of a term market in uranium rather than a spot market... I don't think one person in a thousand who is a uranium speculator understands the importance of the term market in uranium.” (Rick Rule, August 2025)

Uranium Key Facts:

- 2024 mine production: ~157M lbs U3O8 vs. reactor requirements of ~179M lbs (c. 87% coverage, the rest from shrinking secondary supplies – the balance of which is somewhat unknown)
- Supply by country (2024): Kazakhstan 39%, Canada 24%, Namibia 12%
- Reactors: 415 in operation, 73 under construction
- Spot price $85/lb vs. long-term price of $95.50/lb (highest since 2008)
- Utility long-term contracting in 2025: ~116M lbs vs. a replacement rate of ~150-180M lbs (13th year in a row below replacement)
- SPUT holdings: 81.4M lbs or ~45% of one year of global reactor demand (~58% together with Yellow Cake)

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Demand Side

- Data centers / AI:
  - Since September 2024, Microsoft (Three Mile Island restart PPA), Amazon (Talen PPA plus X-energy SMRs), Meta (up to 6.6GW across several deals) and Google (Kairos SMRs plus the Duane Arnold restart) have contracted roughly 16GW of nuclear capacity
  - A PPA on an existing reactor does not by itself create new uranium demand, however these deals invalidate the retirement assumptions in older demand models and are financing three US reactor restarts (~2.3GW) as well as several uprates
- Energy security: *“The only source of energy that's dense enough... to give a place like Korea or Japan or Taiwan energy security is uranium. Japan can store in one warehouse enough uranium to power the country for five years.” (Rick Rule, May 2026)*
  - In March 2026 India signed two of the largest uranium contracts ever written, ~22M lbs over nine years with Cameco (~C$2.6bn) and a separate deal with Kazatomprom reported at over US$4bn.
  - Following the Hormuz closure (most of Japan's oil transits the Strait), Japan has accelerated its restarts. Kashiwazaki-Kariwa, the world's largest nuclear plant, returned to service in April and METI now targets up to 14 new reactors, the first new-build target since Fukushima. Korea and Taiwan are moving in the same direction
- China: 36 reactors under construction, ~10 new approvals per year since 2022, targeting ~110GWe by 2030 (from 62 today)

Importantly, this demand is price-inelastic. A ~$6bn reactor spends something like $30-40m a year on uranium, call it 5% of its cost of power. Similar to tin (see our Metals X write-up, roughly 2 cents of tin per iPhone), the uranium price could double or triple and the utility would simply pay up, especially given it is legally required to keep the lights on.

Supply Side

What makes this cycle unusual is that 13 years of utility under-contracting have run into a supply side that cannot respond. Utilities consume ~180M lbs per year but signed long-term contracts for only 57M, 72M, 113M, 160M, 119M and 116M lbs over the last six years (UxC data as republished by Cameco). Even the 2023 peak barely reached replacement rate. UxC estimates cumulative uncovered requirements of ~3.1bn lbs through 2045 – we would not put much weight on the precision, however a decade of postponed purchasing is now running into 2028 when US imports of Russian enriched uranium will end for good.

Meanwhile on the production side:

- Kazatomprom (39% of world supply) produces more uranium each year but consistently less than planned. The 2026 plan was cut ~10% below licensed levels in August 2025, the sulfuric acid shortage is only fixed when a new plant comes on in 2027 and management itself concedes the next 5-6 years are constrained by under-invested wellfields
- Cameco produced 21M lbs in 2025 (down from 23.4M), deliberately runs McArthur River below capacity and has said repeatedly it will not add pounds without contracts
- Niger's junta seized Orano's SOMAIR mine, removing a mid-tier Western supplier
- New mines will not arrive in time to matter this decade. Case in point, NexGen's Arrow, the best undeveloped uranium deposit in the world, was discovered in 2014 and only reached FID in March 2026, with first production guided for 2030 (industry analysts think 2032 is more realistic). It took the highest term price since 2008 to get Arrow sanctioned, which we think is telling regarding the true incentive price
- We believe the enrichment dynamic is not appreciated or understood by the market. For a decade Western enrichers ran in “underfeeding” mode which generated 20-25M lbs a year of secondary supply. With enrichment capacity now scarce (Russia is 44% of global capacity and increasingly off limits), they have flipped to overfeeding, turning that supply source into incremental demand – a swing of up to ~40M lbs per year by some estimates

This is another reason why we prefer the physical to the miners – we get exposure to the deficit without taking execution risk on the companies trying to fix it.

Why Now? The Russian Catalyst

Russia deserves its own section here given it explains both why uranium was cheap for two decades and why we think it gets expensive now.

From 1993 to 2013, under the Megatons to Megawatts program, Russia downblended 500 tonnes of weapons-grade uranium (roughly 20,000 dismantled warheads) into reactor fuel for the US. For twenty years up to 10% of US electricity ran on ex-Soviet warheads. That program displaced ~20M lbs of mine supply per year and, per the WNA itself, "significantly depressed uranium exploration activities and the uranium price", which is a big part of why Western mining and fuel-cycle capacity atrophied.

Russia still operates ~44% of global enrichment capacity and US utilities were buying 20-27% of their enrichment services from Russia every year through 2023 (still 27% the year before the ban). Congress responded in May 2024 with the Prohibiting Russian Uranium Imports Act, banning Russian LEU through 2040 and unlocking $2.7bn for domestic enrichment, however DOE waivers have kept material flowing (Russia was reportedly still the top supplier of US nuclear fuel in 2025) and those waivers terminate for good on 1 January 2028, with no mechanism beyond.

Western replacement capacity mostly arrives after it (Urenco's expansions complete 2027-2030, Orano's from 2028, and Centrus's own CEO concedes its new Ohio plant is a 2029 story against ~4.3M SWU of US capacity vs. ~15.6M SWU of requirements), so every utility still holding a Russian contract has to re-paper it with Western material before the deadline. The price signal has been moving through the fuel cycle back to front: enrichment is up ~170% since the invasion to ~$200/SWU, conversion is sold out through 2028, and scarce enrichment has pushed enrichers from underfeeding to overfeeding, i.e. using more natural uranium per unit of enriched product (a swing estimated at 20-40M lbs a year of incremental demand). Natural uranium itself has “only” doubled ($42 spot at the end of 2021 vs. $85 today) which we think is what creates the opportunity for us today.

For reference, spot jumped $3/lb the day the Senate merely passed the ban in May 2024, and $4/lb the day Russia announced its retaliatory export restriction that November. Both were single-day reactions to steps everyone saw coming, and the actual cliff is now 18 months out.

Valuation

Each unit represents 0.2367 lbs of U_3O_8 (81.4M lbs across 344M units) plus a small cash balance. At $85/lb that equates to a NAV of $20.49 vs. a unit price of $19.18.

Uranium price	NAV / unit	Upside to NAV
$70	~$16.80	-12%
$85 (spot today)	$20.49	+7%
$95.50 (today's term price)	~$22.80	+19%
$110	~$26.20	+37%
$130	~$31.00	+61%

If spot converges to today's term price and the discount closes, the units return ~19% without the commodity thesis being tested. Our base case over 18-24 months is $100-120/lb as contracting accelerates into the Russian deadline, worth ~$24-29 per unit at NAV or ~1.3-1.5x, with a premium on top of that in a proper bull market. The bear case ($70/lb with the discount back at its ~15% extremes) is roughly -25%. As with COP, we are buying the physical product, so a cyclical downturn is more an IRR risk than an impairment risk.

Uranium bulls have been right but early twice before (2007, and again in 2014-19 when the expected deficits were covered by Japanese post-Fukushima inventory sales), so parts of the market probably treat it as a ‘show me story’. We would argue this time is different given demand has actually materialized in signed contracts (Microsoft, Meta, the Indian government) and the inventory overhang that capped prior cycles has largely been drawn down (some of it into the Trust itself).

Risks:

Inventory opacity – it is hard to know how much mobile inventory is genuinely left. Japanese utilities held roughly five years of forward coverage after Fukushima (a 2015 UxC estimate) and their sales capped the 2016-19 market. Partly mitigated by Japan restarting reactors and by 91% of 2024 US utility deliveries coming under long-term contracts

Kazakhstan over-delivers – Budenovskoye ramping to nameplate plus the new acid plant in 2027 would soften the deficit (their monthly operations updates are worth monitoring)

The discount widens – there is no mechanism to arb it away and in liquidity events such as March 2020 the predecessor vehicle sold off sharply while spot barely moved. More an IRR than an impairment risk

Demand timing – a PPA only translates into actual uranium purchases once the reactor loads fuel, and an AI capex bust would hurt sentiment well before it hurts fuel demand.

A reactor accident anywhere – no real mitigant

Carry – no yield and a 0.68% MER against ~4% T-bills. Given the negative carry the thesis needs to work over the next few years rather than decades, however we believe the 2028 Russian import deadline provides exactly that timeline

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Catalyst

- Term contracting accelerating into the 1 January 2028 Russian import ban deadline (Cameco: utilities are “already preparing for triple-digit uranium”)
- Kazatomprom's August 2026 production guidance (a third consecutive cut would reset the supply picture)
- Any move to premium reactivates the US$1bn ATM (as in January 2026)
- Continued energy security concerns post Hormuz driving sovereign stockpiling (the trade is washed out enough that de-escalation should not hurt much either)

Messages

Subject Enrichment/Conversion
Entry 07/06/2026 09:44 AM
Member BrotherCostanza

Any opinion on whether the shortage of capacity in enrichment and conversion ends up limiting the demand for u308? A few years back, people were saying the demand would eventually flow through the fuel cycle, but I wonder if there just isn't enough capacity in these middle stages to translate into enough U308 demand?

Subject Re: Enrichment/Conversion
Entry 07/06/2026 01:12 PM
Member katana

The enrichment & conversion bottleneck has been the primary uranium-miner anti-bull case for at least a full year (long enough that I no longer remember precisely). It will continue to matter for spot price for a while. But the US Government is spending $billions to help legacy and new Western enrichers build capacity. It's coming. The fuel buyers know it. Spot prices are lagging, but long-term contract prices are ramping nicely. Here's the U308 price table that Cameco publishes:

Long-term Price

	2022	2023	2024	2025	2026
Jan	42.88	52.50	72.00	81.00	89.00
Feb	43.88	53.00	75.00	80.00	90.00
Mar	49.00	53.00	77.50	80.00	91.50
Apr	50.00	53.50	77.50	80.00	91.50
May	50.75	55.00	78.50	80.00	94.00
Jun	51.50	56.00	79.50	80.00	95.50
Jul	51.50	56.88	80.50	81.00	-
Aug	51.50	59.00	81.00	81.00	-
Sep	51.00	61.50	81.50	83.00	-
Oct	51.00	64.00	81.50	85.00	-
Nov	52.00	66.00	81.50	86.00	-
Dec	52.00	68.00	80.50	86.50	-